FIELD GUIDE

Smart Money Concepts

The vocabulary, and one real trade that uses it

THE TERMS

15 concepts

Each one defined, with a diagram of what it looks like on a chart.

THE SEQUENCE

One BTCUSD trade

The same ideas applied in order on a real 1-hour chart.

THROUGHOUT

What would break it

Every step names the thing that would invalidate it.

Educational reference — not financial advice.

These are widely-taught chart-reading conventions, not verified descriptions of institutional order flow. Nothing here is a signal, a recommendation, or evidence that any particular label is objectively correct.

How to read this guide

The labels are only useful in a sequence. Learning them as isolated flashcards is the common failure mode — Part Two exists to show the order they actually appear in.

1. **Learn the four families**
   Structure, liquidity, zones, and context. Every term belongs to one of them.

2. **Read the sequence**
   Liquidity event, then structure shift, then a zone, then the entry. Order matters.

3. **Define invalidation first**
   If you cannot say what would prove the read wrong, it is not a read.

THE HONEST CAVEAT

Every concept here is a way of describing a chart after the fact. The descriptions are consistent and teachable, which is what makes them useful for building rules.

What they are not is proof. Nobody reading a retail chart can see institutional order books. When a label seems to explain a move perfectly, that is often hindsight doing the work.

Treat every setup here as a hypothesis to test on your own data — never as a signal to follow.

PART ONE

The vocabulary

Fifteen terms, grouped into the four families they belong to. The original order these are usually taught in is arbitrary; this grouping is not.

Structure

What the trend is doing, and when it changes.

1. BOS
2. CHoCH
3. MSS

Liquidity

Where the stop orders sit, and why price goes to get them.

4. BSL
5. SSL
6. EQH / EQL
7. Sweep
8. IDM

Zones & imbalance

The specific areas a move originates from or returns to.

9. FVG
10. IFVG
11. OB
12. Mitigation
13. Breaker
14. Mit. Block

Context

Where in the wider range this is all happening.

15. PD

01 · STRUCTURE

Break of Structure

BOS

Price closes beyond a prior swing point, confirming the trend continues.

The prior swing high is taken with a close, not just a wick.

WHAT IT MEANS

- In an uptrend, a BOS is a close above the last swing high.
- It confirms the existing trend is intact and likely to continue.
- The opposite — breaking a swing low in an uptrend — warns of a reversal instead.

KEY IDEA

BOS is trend confirmation. It says the dominant direction is still in control.

02 · STRUCTURE

Change of Character

CHoCH

The first break that signals a possible trend reversal.

WHAT IT MEANS

- In an uptrend, price stops making higher lows and breaks the most recent one.
- It is the earliest structural clue that momentum may be shifting.
- Often followed by a deeper move as the new trend develops.

KEY IDEA

The market's first character change — the earliest warning that control has flipped.

The last higher low fails; the sequence that defined the uptrend is broken.

Market Structure Shift

MSS

A decisive break of internal structure that confirms a new directional bias.

WHAT IT MEANS

- Closely related to CHoCH; usually the confirming break on a lower timeframe.
- Price breaks a key internal swing point with a strong, decisive candle.
- The MSS candle becomes the anchor many traders use for entries.

KEY IDEA

MSS is the trigger many ICT traders wait for — structure has officially flipped.

The break is carried by one displacement candle, not a slow drift through.

04 · LIQUIDITY

Buy-Side Liquidity

BSL

Resting buy-stop orders parked above swing highs.

WHAT IT MEANS

- Stop-losses from shorts and breakout buy-stops cluster above equal highs.
- That pool is a target — price is often drawn upward to trigger it.
- Once swept, BSL frequently marks a short-term top before a reversal.

KEY IDEA

Think of BSL as fuel sitting above the market — price reaches for it before turning.

Orders pool where the highs line up, because that is where stops get placed.

05 · LIQUIDITY

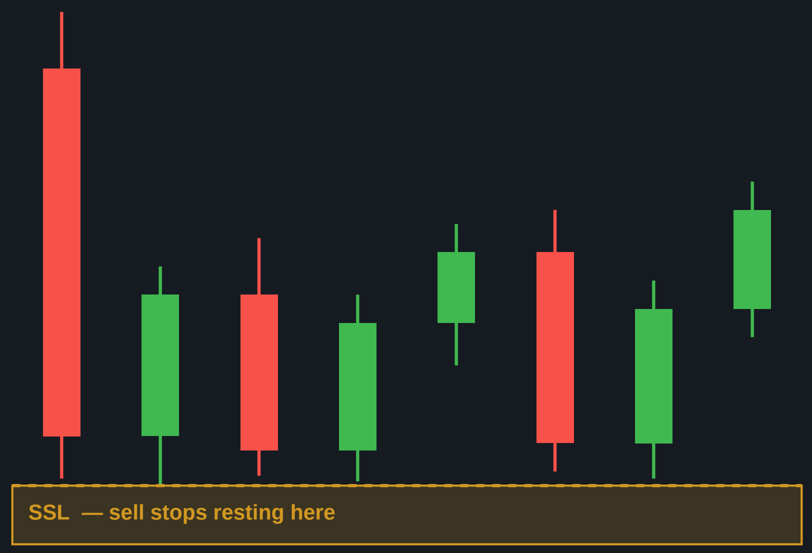
Sell-Side Liquidity

SSL

Resting sell-stop orders parked below swing lows.

WHAT IT MEANS

- Stop-losses from longs and breakdown sell-stops cluster below equal lows.
- The pool acts as a magnet — price dips into it before reversing higher.
- Once swept, SSL frequently marks a short-term bottom.



The same mechanic, inverted: equal lows advertise where the stops are.

KEY IDEA

SSL is the mirror of BSL — fuel below the market that price dips into before turning up.

06 · LIQUIDITY

Equal Highs / Equal Lows

EQH / EQL

Repeated highs or lows sitting at nearly the same price.

WHAT IT MEANS

- EQH: two or more swing highs line up at a similar level.
- EQL: two or more swing lows line up at a similar level.
- Both flag obvious liquidity pools that price is drawn to sweep.

Equal levels are not strong support or resistance. They are advertised liquidity.

KEY IDEA

The more often a level is tested, the more stops pile up — and the bigger the eventual sweep.

07 · LIQUIDITY

Liquidity Sweep

Sweep

A stop-hunt beyond a prior high or low, then a sharp reversal.

The long wick through the level — not a close beyond it — is the tell.

WHAT IT MEANS

- Resting stops sit just beyond obvious swing highs and lows.
- Price wicks through the level to trigger them, then quickly reverses.
- The sweep fuels the real move in the opposite direction.

KEY IDEA

A sweep is a trap: the breakout looks real for one candle, then price snaps back.

08 · LIQUIDITY

Inducement

IDM

A small, obvious swing that lures traders in before the real move.

WHAT IT MEANS

- A minor liquidity pool placed before the true Order Block.
- Retail traders enter against the real move using it as confirmation.
- Smart money sweeps the inducement first, then makes the genuine move.

KEY IDEA

The obvious, easy-to-see swing point is often bait — not the real signal.

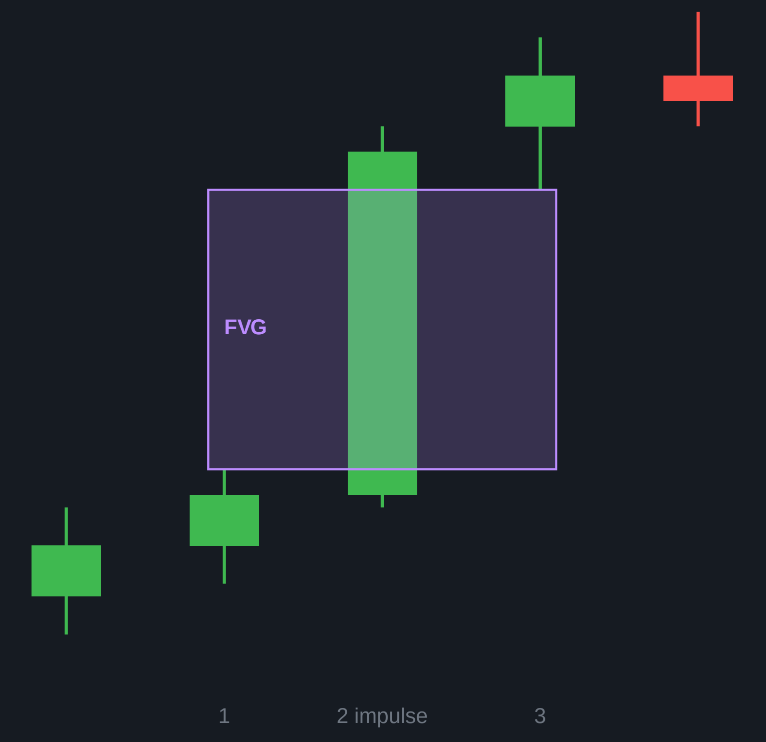
The shallow swing gets taken first; the deeper zone is where the move begins.

09 · ZONES & IMBALANCE

Fair Value Gap

FVG

A price imbalance left behind by a fast move.



The gap is the untouched space between candle 1 and candle 3.

WHAT IT MEANS

- A three-candle pattern where candle 1's wick and candle 3's wick do not overlap.
- Created by a strong, fast candle that skips price levels.
- Price often returns later to rebalance the gap before continuing.

KEY IDEA

The gap acts as a magnet — price is likely to revisit it before the next major move.

Inverted Fair Value Gap

IFVG

An FVG that gets fully broken and flips its role.

Same zone, opposite job, once price has closed decisively through it.

WHAT IT MEANS

- An FVG normally acts as support (bullish) or resistance (bearish).
- When price closes all the way through it, the gap inverts.
- It then acts as the opposite: former support becomes resistance.

KEY IDEA

An IFVG shows a genuine shift in control — the zone that once held price now rejects it.

Order Block

OB

The last opposing candle before a strong, structural move.

The origin candle of the impulse, not just any red candle in a pullback.

WHAT IT MEANS

- The final down-candle right before a sharp rally is a bullish Order Block.
- It marks the footprint of large institutional buying or selling.
- Traders watch for price to return to the zone as a high-probability area.

KEY IDEA

Order Blocks mark where smart money entered — they originate an impulsive break of structure.

Mitigation

Mitigation

Price returns to an Order Block to fill orders that were left behind.

WHAT IT MEANS

- After an impulsive move, price often pulls back into the origin Order Block.
- The retest lets large orders that were not fully filled get executed.
- Once mitigated, price frequently resumes in the original direction.

KEY IDEA

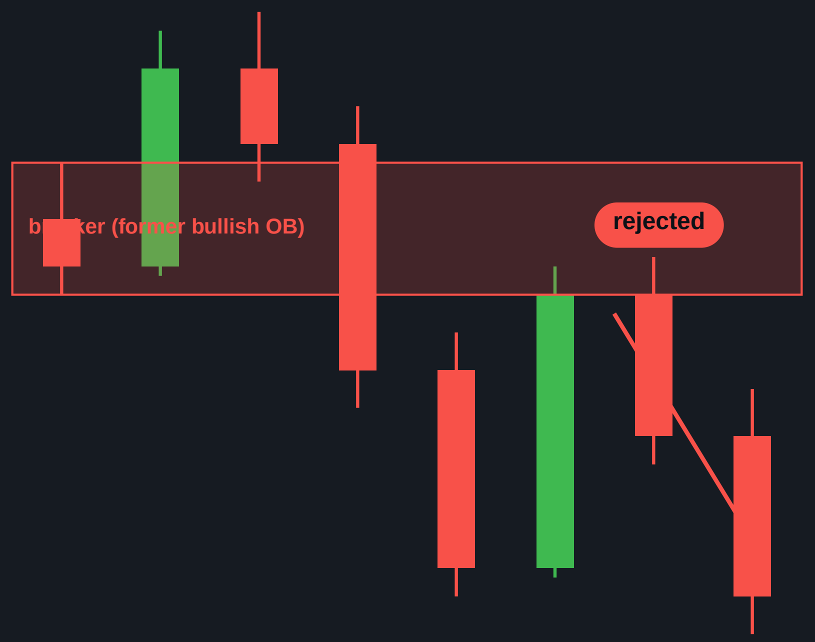
Mitigation is not a reversal. It is usually a pause that lets big orders fill.

A touch and a rejection — the zone does its job and the trend continues.

Breaker Block

Breaker

A failed Order Block that flips polarity once structure breaks through it.



The zone did not hold, so its role inverts. The retest is the readable event.

WHAT IT MEANS

- Starts as a normal Order Block that should hold — but price breaks straight through.
- The broken OB is relabelled a Breaker: former support now expected to resist.
- Price often returns to retest the breaker before continuing.

KEY IDEA

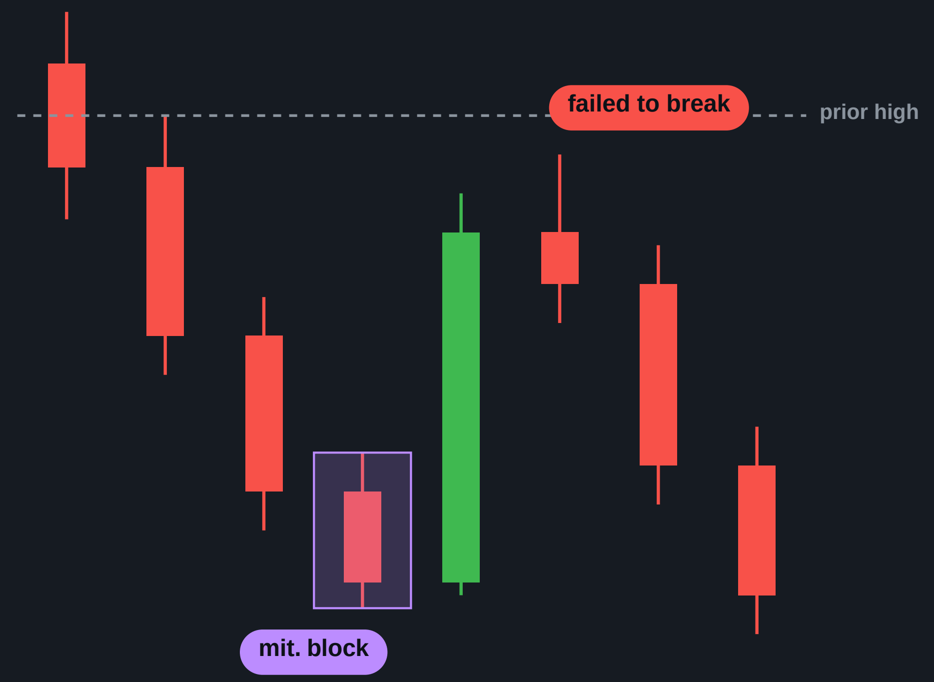
A Breaker is proof the level failed — trade the retest, not the old bias.

14 · ZONES & IMBALANCE

Mitigation Block

Mit. Block

The last opposing candle before a move that fails to reach new liquidity.



The distinction is the leg that follows, not the candle itself.

WHAT IT MEANS

- Similar to an Order Block, but the leg it precedes fails to break prior structure.
- Because the leg is weak, price is expected to return and mitigate it more precisely.
- Used as a tighter, more conservative entry zone than a standard Order Block.

KEY IDEA

Order Block = origin of a strong break. Mitigation Block = origin of a weak, failed leg.

15 · CONTEXT

Premium vs. Discount

PD

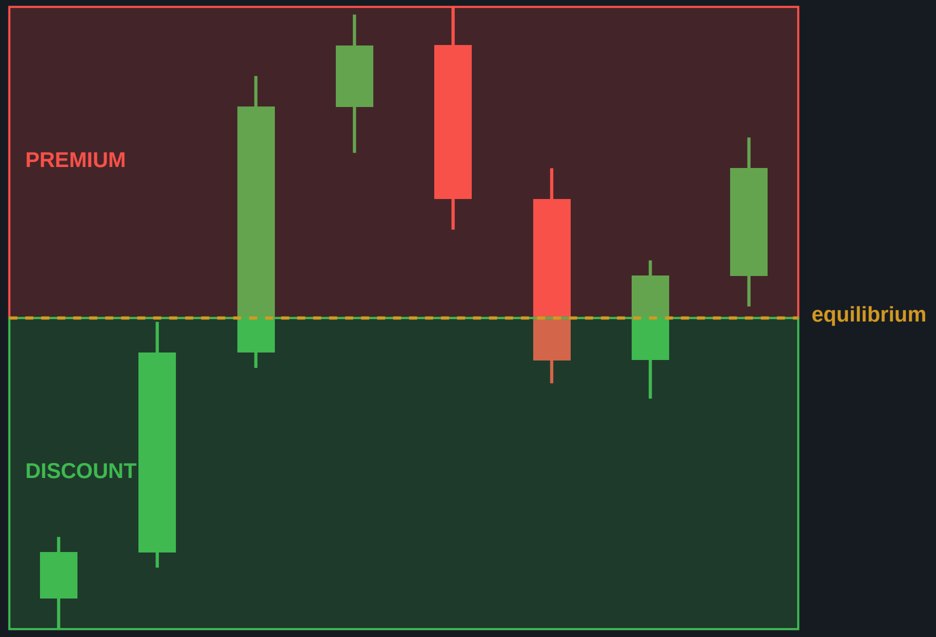
Splitting a trading range at its 50% equilibrium point.

WHAT IT MEANS

- Draw a range from a major swing low to a major swing high.
- Above the 50% midpoint (equilibrium) is Premium — the expensive half.
- Below the midpoint is Discount — the cheap half.

KEY IDEA

Smart money tends to sell in premium and buy in discount, relative to equilibrium.



Everything else is read in this context: where in the range is price right now?

PART TWO

The sequence, on a real chart

One BTCUSD 1-hour setup, annotated step by step. No synthetic candles — every screenshot that follows is the same real chart.

1

Sell-side liquidity sweep

Price takes the obvious low, then rejects.

2

MSS / displacement

A decisive break of short-term structure upward.

3

Order Block + FVG

The impulse leaves a zone and an imbalance behind.

4

Retracement and entry

Price returns to the zone; the trigger fires there.

5

Stop loss

Placed beyond the structural invalidation, for a reason.

6

Take profit

Toward the opposing liquidity, also for a reason.

The chart, before any labels

BTCUSD, 1-hour bars, 28 Aug – 3 Sep 2025 — real prices, redrawn. Worth one look with fresh eyes before the annotations tell you what to see.

Price data: Yahoo Finance — BTC-USD 1h

STEP 1 OF 6

Liquidity sweep

Price breaks the higher low that the whole morning rally was built on, wicks well below it, and immediately rejects.

WHAT TO LOOK FOR

- The higher low at 108,904 — obvious, and full of stops.
- A wick down to 108,533, then a close back above.
- The break is not held: it is taken and given straight back.

THE TRAP

Do not buy simply because liquidity was swept. A sweep on its own is context, not a trade — you still need a structural response afterwards.

STEP 2 OF 6

MSS / displacement

One hourly candle adds $2,269 and closes above the structure high — the break is carried by a single decisive bar.

WHAT TO LOOK FOR

- The 13:00 candle opens at 108,859 and closes at 111,128.
- It closes above the 110,669 structure high in one move.
- It happens after the sweep, not before it.

THE TRAP

A tiny random break is not an MSS. If you have to squint to find the structure that broke, it did not break.

STEP 3 OF 6

Order Block + FVG

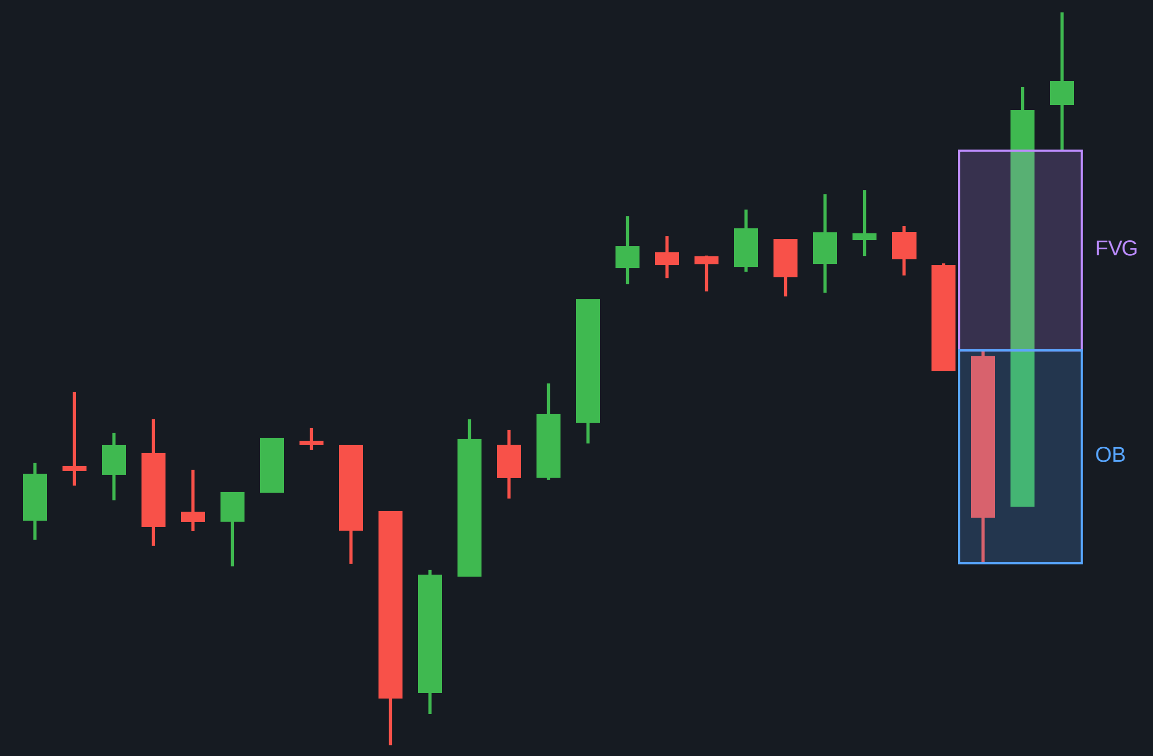
The impulse leaves two things behind: the candle it came from, and a gap it never traded through.

WHAT TO LOOK FOR

- Order Block — the last down candle, 108,533–109,751.
- Fair Value Gap — 109,751–110,894, skipped entirely.
- Both formed after the sweep and after the structure break, in that order.

THE TRAP

The useful question is not "can I find an FVG?" — you almost always can. It is whether the FVG formed after the liquidity event and the structure shift.



STEP 4 OF 6

Retracement and entry

Price turns back down into the gap within two hours. That retrace — not the impulse — is where the trade is taken.

WHAT TO LOOK FOR

- The next candles trade back to 110,894, the top of the gap.
- The zone is reached, so a predefined trigger can fire there.
- Entry is at the zone, not on the candle that created it.

THE TRAP

Entering on the impulse itself is the most common way this setup is lost. The whole point of the zone is that it gives you a defined place to act.

Stop loss and target

Risk goes below the wick that started it all; the objective is the liquidity resting above.

WHAT TO LOOK FOR

- Stop at 108,400 — under the sweep low, where the read is wrong.
- Objective at 111,686 — the buy-side liquidity overhead.
- Both levels are defined by structure, not by a round number of dollars.

THE TRAP

A stop needs a reason and so does a target. "Below the sweep" and "at the opposing liquidity" are reasons. A fixed number of points is not.

STEP 6 OF 6

The whole sequence

Every piece on one chart, in the order it actually happened — each step conditional on the one before it.

WHAT TO LOOK FOR

- Sweep, then structure break, then zone, then retrace, then entry.
- Remove any step and the one after it has no reason to exist.
- The order is the method; the labels on their own are not.

THE TRAP

The sequence is the lesson. Memorising the labels in isolation gives you the vocabulary without the grammar.

What happened next

The setup is read at the displacement candle on 2 September, so the entry, stop and target are forward-looking from that moment — not history. Here is how it actually resolved, from the same price data.

RETRACE INTO THE GAP

Filled

2 Sep, 15:00 — two hours after the impulse.

OBJECTIVE 111,686

Reached

3 Sep, 00:00 — about eleven hours later.

STOP 108,400

Never touched

The low held; price ran to 113,284 that week.

AND THAT PROVES NOTHING

One setup resolving as anticipated is a single observation. It does not measure how often the pattern works, what it costs when it fails, or whether the labels would have been drawn the same way before the move rather than after it. That is the whole reason this guide keeps saying: test it on your own data.

Glossary

All fifteen, at a glance.

1. **Break of Structure**
   Price closes beyond a prior swing point, confirming the trend continues.
2. **Change of Character**
   The first break that signals a possible trend reversal.
3. **Market Structure Shift**
   A decisive break of internal structure that confirms a new directional bias.
4. **Buy-Side Liquidity**
   Resting buy-stop orders parked above swing highs.
5. **Sell-Side Liquidity**
   Resting sell-stop orders parked below swing lows.
6. **Equal Highs / Equal Lows**
   Repeated highs or lows sitting at nearly the same price.
7. **Liquidity Sweep**
   A stop-hunt beyond a prior high or low, then a sharp reversal.
8. **Inducement**
   A small, obvious swing that lures traders in before the real move.
9. **Fair Value Gap**
   A price imbalance left behind by a fast move.
10. **Inverted Fair Value Gap**
    An FVG that gets fully broken and flips its role.
11. **Order Block**
    The last opposing candle before a strong, structural move.
12. **Mitigation**
    Price returns to an Order Block to fill orders that were left behind.
13. **Breaker Block**
    A failed Order Block that flips polarity once structure breaks through it.
14. **Mitigation Block**
    The last opposing candle before a move that fails to reach new liquidity.
15. **Premium vs. Discount**
    Splitting a trading range at its 50% equilibrium point.

Five ways this goes wrong

Each of these is a failure of method, not of the concepts themselves.

1. **Labelling after the move**
   Any chart can be annotated perfectly in hindsight. The test is whether you marked the zone before price reached it.

2. **Finding a zone anywhere**
   FVGs and order blocks exist on every chart at every scale. Without the sequence — liquidity, then structure — they are just rectangles.

3. **Skipping invalidation**
   If a setup has no level that would prove it wrong, it cannot be tested, and it cannot be traded with defined risk.

4. **Treating one example as evidence**
   The walkthrough in Part Two is a single trade. One example shows what the pattern looks like; it says nothing about how often it works.

5. **Confusing vocabulary with edge**
   Knowing the terms makes charts easier to discuss. It does not by itself make anyone profitable.

Source and caveats

WHERE THIS COMES FROM

Instrument	**BTC-USD · 1 hour**
Price data	**Yahoo Finance**
Window	**28 Aug – 3 Sep 2025**
Compiled by	**bhurtelmahesh**

WHAT THE ANNOTATIONS ARE

Every candle in Part Two is real BTC-USD hourly data, drawn from the price series rather than traced from a screenshot. The labels explain the SMC / ICT reading of what the chart did; they are not proof those labels correspond to real institutional orders.

Use the setup as a framework to test against your own data, not as a signal.

DISCLAIMER

This document is educational material about chart-reading conventions. It is not financial, investment, or trading advice, and nothing in it is a recommendation or a prediction. Markets carry risk of loss. Any decision you make is your own responsibility.